

Memo 1: Problem Identification and Framing

The Problem and Its Tangible Business Impact At Nutanix, a rapidly scaling enterprise cloud company, we are currently facing severe execution bottlenecks driven by deeply entrenched cross-functional silos, particularly between our Engineering, Product, and Sales departments. Following our transition to a hybrid work environment, collaboration has deteriorated, leading to isolated echo chambers where teams operate with a fragmented view of the customer. The tangible impact on the business's health is significant: critical product launches are being delayed, customer response times have slowed, and middle managers are experiencing severe burnout as they attempt to manually hold the fractured operations together. This is not a problem of a flawed market strategy or a lack of technological capability in a hyper-competitive space; rather, it is a fundamental failure in the organization's ability to solve the core problems of **coordination** (managing interdependencies) and **alignment** (ensuring teams work for common rather than individual interests).

Roots in the Organizational DNA (OrgDNA) The underlying causes of these bottlenecks are deeply rooted in the company's **OrgDNA**—specifically, the misalignment across our formal and informal systems. From an **Architecture** perspective, the formal roles and incentive structures are clashing; for instance, Engineering is largely incentivized to maintain product stability and reduce risk, while Sales is driven by aggressive revenue targets and the rapid deployment of new features. Culturally, this has bred a parochial, siloed mentality where teams hesitate to share information across functions, fostering a "not my job" attitude that is highly corrosive to our digital and operational agility. Furthermore, the shift to a hybrid environment has severely disrupted the **Influence** layer of our organization. Traditional hierarchical power is less visible and effective in remote settings, and our leadership has struggled to adapt by building the **relational power**—which relies heavily on technology fluency and social adeptness in virtual platforms—needed to influence peers across departmental divides.

Focusing on the Underlying Dynamics Ultimately, the execution bottlenecks are merely the surface-level symptoms of a much deeper organizational misalignment. The ultimate determinant of an organization's success lies in the delicate balance of internal and external alignment. Currently, our formal **Architecture** is at odds with our informal **Culture** and the actual networks of **Influence**. Rather than simply treating the delayed product launches with temporary operational workarounds or top-down mandates, my analysis in the coming weeks will focus on diagnosing these underlying OrgDNA misalignments. By analyzing how these intersectional patterns and power dynamics dictate daily behavior, I aim to identify structural and cultural levers that can definitively break down these silos and restore execution agility at scale.

Memo 2: Power Dynamics and Organizational Alignment

1. Key Power Holders and Decision-Makers At Nutanix, the formal power holders are the VPs and Directors heading the Engineering, Product, and Sales divisions. Their authority stems directly from their formal positions within the organizational **Architecture**, which defines their roles, rules, and resource allocation. However, in our scaling hybrid environment, informal dynamics heavily dictate true decision-making power. Specifically, **Influence**—the relational layer of power beyond formal authority—determines who truly governs the organization at pivotal moments. Because formal hierarchical markers are less visible in remote work, leaders who leverage **relational power**—demonstrating contextual sensitivity and social adeptness on digital platforms—wield disproportionate sway. Furthermore, power is actively derived from the control of valuable resources like **Information** and knowledge. The current distribution of this influence is highly fractured; because functional leaders hoard information within their own closed networks, no single entity effectively coordinates across the silos, directly causing the execution bottlenecks.

2. Conflicts and Power Struggles The cross-functional bottlenecks are fundamentally driven by inherent strategic dualities, such as Sales pushing for aggressive growth and new features, versus Engineering prioritizing product stability and profitability. These natural organizational tensions have devolved into covert power struggles. For instance, dominant leaders frequently utilize **agenda control**—the "second dimension of power"—to intentionally keep integration problems or resource-sharing conflicts off the leadership team's meeting agenda to protect their own turf. Additionally, there is evidence of **social undermining**, where executives quietly drop hints that damage a competing colleague's reputation rather than engaging in open, constructive debate. These power games paralyze the organization's ability to address the bottlenecks, as energy is spent protecting functional silos rather than collaborating on product delivery.

3. Level of Politics: Dysfunctional Behavior and Silence The level of politics surrounding this problem is high and decidedly **dysfunctional**. While politics can theoretically be the functional art of analyzing and exercising power, the current environment resembles a "turf-building" culture where organizational politics is viewed strictly as a win/lose game. This dysfunction manifests most visibly through **power-induced silence**, a critical leadership team disease. During cross-functional meetings, middle managers and executives stay quiet, calculating that the political costs of challenging a dominant functional leader are simply too high. Driven by a negative norm of reciprocity—the fear that frustrating a colleague's plans now will result in retaliation later—managers avoid the very conflicts required to solve the issues. This political behavior directly sustains the business problem by keeping hand-off defects and execution failures hidden in the shadows.

4. Misalignment Within the OrgDNA The ultimate cause of these execution bottlenecks is a profound misalignment across the company's **OrgDNA**. The efficacy of an organization hinges entirely on the harmonious integration of its three core elements: Architecture, Culture, and Influence. Currently, these components are in direct conflict. While the formal **Architecture** nominally supports agile, cross-functional product development, the informal **Culture** (shared habits and parochial norms) and the actual networks of **Influence** reinforce rigid, isolated silos. This misalignment results in the exact confusion, inefficiency, and conflicting interests that are

stalling our product launches. To resolve the bottlenecks, we must address this root misalignment; we cannot simply mandate collaboration, but must introduce data-driven transparency to break the "blind-men-and-the-elephant" problem and change daily behaviors to actively build cross-functional trust.

Memo 3:

1. The Presence and Nature of Informal Networks (Linked to Power and Politics)

Within Nutanix, the informal networks are heavily fractured along functional lines, creating distinct, tight-knit cliques within Engineering, Product, and Sales. For example, I intentionally designed my own engineering team to operate as a highly connected, **closed network** where everyone could share knowledge and help each other out directly. While this localized setup successfully prevented me from becoming a day-to-day operational bottleneck and fostered high internal efficiency, it also contributed to the broader organizational problem. When individuals interact primarily within their own functional groups, these cliques naturally evolve into polarized echo chambers that reaffirm existing beliefs and operational habits.

This informal network structure directly sustains the dysfunctional power dynamics and politics discussed previously. Because the networks are closed, information does not flow freely across departments, resulting in a "blind-men-and-the-elephant" scenario where isolated teams cannot see the broader strategic context of a product launch. Functional leaders exploit this structure, using **agenda control** and hoarding information within their own closed networks to protect their turf and maintain **hierarchical and relational power**. Consequently, when cross-functional execution bottlenecks arise, teams blame one another rather than collaborating, reinforcing the political turf-wars and power-induced silence that stall our releases.

2. Open vs. Closed Networks: Impact on Information Flow and Decision-Making

The execution bottlenecks at Nutanix are fundamentally an issue of network constraint. **Closed networks**—like my engineering team—are highly effective for building mutual trust, establishing shorthand communication, and executing routine tasks. However, they severely limit exposure to new ideas and create massive friction at the boundaries where different departments must integrate their work.

Conversely, **open (or brokerage) networks** exist where individuals bridge the gaps between different, disconnected clusters. In my role, I actively operated as an open information broker between upper management and my team, controlling how and when strategic information (project details, hiring plans) reached them. This brokerage position granted me significant structural power and influence. Furthermore, to ensure my team's projects survived the company's cross-functional bottlenecks, I had to continuously build informal, open-network ties with managers in other departments. When the official matrix structure stalled, it was these informal, cross-team friendships—my **relational power**—that actually got things moving.

Connection to the Business Problem: The core reason our scaling hybrid environment is failing is that there are far too few "brokers" connecting the functional silos. Because the formal architecture lacks cross-functional integration, the burden of bridging these closed networks falls entirely on middle managers like myself, forcing us to rely on informal back-channels to force alignment. This creates a severe bottleneck: information flow and strategic decision-making are entirely dependent on a few exhausted brokers navigating a "do-it-yourself" transition. To eliminate these execution bottlenecks, the organization must stop relying on middle managers to manually bridge the gaps. We must structurally incentivize **open networks** across all levels, encouraging teams to synthesize diverse, atypical ideas from outside their immediate functions to restore our agility.

Memo 4: Cultural Dynamics and Organizational Misalignment

1. Cultural Artifacts and Their Impact In organizational behavior, cultural artifacts are the observable data of an organization, including what people actually do and how they behave. At Nutanix, the artifacts of our culture actively reinforce the cross-functional silos between Engineering, Product, and Sales. These artifacts manifest in our hybrid work environment as heavily guarded, department-specific digital communication channels, localized performance dashboards that track functional metrics rather than end-to-end customer outcomes, and leadership meetings where cross-departmental integration issues are routinely left off the agenda. These artifacts reflect an underlying assumption that functional efficiency is paramount, but they directly contribute to our execution bottlenecks by creating a "blind-men-and-the-elephant" scenario. Because our daily routines and tools limit exposure to atypical ideas outside our immediate groups, teams operate in closed networks that stall critical product hand-offs.

2. Stated Values vs. Actual Behaviors Nutanix's stated values proudly emphasize "customer-centricity," "agile innovation," and "one team" collaboration. However, there is a severe inconsistency between these espoused values and our actual, enacted behaviors. In reality, our organization suffers from the digital-age cultural deficiencies of siloed mind-sets and risk aversion. When execution bottlenecks occur, rather than collaborating, teams often adopt a "not my job" mentality, retreating to the safety of their functional silos. This discrepancy creates cynicism and reinforces the dysfunctional power games and "power-induced silence" I noted in earlier analyses. If our espoused value is truly agile innovation, our actual behavior fails to support it because employees are not given the practical means or safety to expose cross-functional problems without fear of political blowback.

3. Deep-Rooted Assumptions The most restrictive elements of our culture are our deep-rooted, unspoken assumptions. According to Edgar Schein's model, these basic assumptions form the core of a company's culture. At Nutanix, a primary unspoken assumption is that exposing a problem—especially during a product hand-off between Engineering and Sales—is dangerous and will result in blame. In a culture driven by

these assumptions, employees resort to the "five whos" (pointing fingers at who is to blame) rather than the "five whys" (finding the root cause of a problem). Consequently, problems are hidden until they erupt into massive execution bottlenecks. Our organization assumes that "no problem is a good thing," rather than understanding that a manager's actual job is to see and expose problems so they can be solved collaboratively. This defensive assumption paralyzes our responsiveness.

4. Alignment and Realignment Ultimately, the artifacts, values, and assumptions at Nutanix are deeply misaligned with both our matrixed organizational structure and our desired strategic outcomes. A matrix structure requires high levels of integration, but our siloed culture and fear-based assumptions pull teams apart, yielding the exact confusion and inefficiency causing our delays,. To resolve this, we must recognize that we cannot simply mandate a new mindset. As demonstrated by the NUMMI joint venture, you do not change culture by trying to change how people think; rather, it is easier to "act your way to a new way of thinking",. To realign our culture, we must change daily behaviors by introducing new artifacts—such as cross-functional squads united by a single view of the customer, or behavioral "stop-the-line" mechanisms that make it safe for employees to expose and resolve defects collaboratively,. Only by changing what we *do* can we break down the silos and build the trust required to scale agility.

Memo 5: Recommendations and Implementation Strategy

1. Recommendations Informed by OrgDNA Insights To resolve the execution bottlenecks and cross-functional silos at Nutanix, we must realign the organization's Architecture, Culture, and Influence layers. My recommendations are as follows:

- **Architecture (Structure & Incentives):** We must transition away from strictly functional KPIs and deploy integrated, cross-functional "squads" (comprising Engineering, Product, and Sales) that are tied to end-to-end customer outcomes. Furthermore, compensation and recognition systems must be revamped to reward group and cross-functional accomplishments rather than purely individual or siloed functional metrics.
- **Culture (Habits & Assumptions):** We cannot simply mandate a "collaborative mindset." Drawing on the lessons from the NUMMI joint venture, we must change the culture by changing what people *do*. I recommend implementing a behavioral "stop-the-line" (*andon*) mechanism for knowledge workers. This empowers and obligates any team member to halt a product hand-off if a defect or misalignment is spotted, fundamentally shifting our assumption from "hiding problems is safe" to "exposing problems is required".
- **Power and Influence (Networks & Politics):** We must "crowd out" the dysfunctional power games and agenda control wielded by siloed executives by introducing radical, data-driven transparency. By utilizing shared customer data dashboards that span across silos, we eliminate the "blind-men-and-the-elephant"

problem. Additionally, we must formally recognize and empower the middle managers who actively cultivate "open networks" and act as information brokers across functional lines.

Intersection of Recommendations: These interventions complement each other to create a comprehensive solution. By changing the formal Architecture (agile squads and shared incentives), we structurally force closed functional networks to become open, cross-pollinating networks. This architectural shift dictates new daily behaviors, which—as the Outsight principle and NUMMI dictate—is the only effective way to change how people think and alter the underlying Culture. Simultaneously, shared data removes the information hoarding that fuels toxic Power Dynamics, enabling the new squads to execute without political paralysis.

2. Implementation Strategy and Sequencing

- **Sequencing:** A "big bang" reorganization where everyone's job is abolished simultaneously is too chaotic and risky. Instead, we will use a "test-and-learn" cycle. We will begin by creating a taxonomy of potential cross-functional teams and prioritizing a few vital customer experiences to pilot the agile squad model. Once these pilot teams demonstrate value and we address bureaucratic constraints, we will steadily scale the model.
- **Accounting for Power and Networks:** To implement this, I will build a coalition of allies using "agenda linking"—finding win-win solutions that connect the new agile initiative to the personal and functional agendas of key stakeholders. Rather than relying solely on top-down mandates, we will identify the organization's "unsung influencers"—the highly connected cultural leaders—and deputize them to co-create and champion the new collaborative norms.
- **Managing Resistance:** Resistance will primarily come from functional VPs and legacy Directors whose hierarchical power, resource control, and traditional boundaries are threatened by decentralized agile teams. They may resort to stalling tactics, citing endless implementation obstacles.
- **Building the Case and Momentum:** I will overcome this resistance by consistently anchoring the initiative in the company's strategic goals, forcing leaders to align vertically with the company's survival rather than their functional turf. To build momentum, the executive team must model the behavior they wish to see—acting as a compass for the new world—and establish collective accountability, ensuring that rewards are strictly tied to group objectives.

3. Unintended Consequences, Risks, and Metrics

- **Unintended Consequences:** Shifting to a highly matrixed or agile structure can inadvertently lead to severe role confusion, high stress from dual reporting lines, and heightened potential for conflict. Furthermore, if traditional support functions (like Legal, HR, or legacy IT) are not integrated properly, they will fiercely defend

the status quo, producing organizational "antibodies" that bottleneck the new agile squads.

- **Proactive Mitigation:** To minimize these risks, we will establish clear "rules of the road" and interfaces between the agile squads and corporate functions, similar to the approach used at Riot Games. Support functions will publish clear guidelines, granting squads autonomy as long as they operate within those boundaries. To mitigate power-induced silence and conflict during the transition, we will utilize "decision hygiene" practices, such as discussing sensitive integration issues in smaller subgroups before bringing them to the full leadership team.
- **Metrics for Evaluation:** We will measure the success of this implementation through three primary metrics:
 1. **Operational Agility:** Reduced time-to-market for cross-functional product launches (measuring the elimination of the bottleneck).
 2. **Customer Outcomes:** Net Promoter Scores (NPS) and customer satisfaction metrics to ensure the cross-functional squads are truly delivering value.
 3. **Cultural Health:** Tracking employee turnover, absenteeism, and engagement scores to measure team motivation and the reduction of burnout.